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Case Number: 24STCV10311 Hearing Date: June 25, 2026 Dept: 730

Superior Court of California

County of Los Angeles

Department 730

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GUANGZHOU BEAVER COSMETIC CO. LTD., et al.,

Plaintiffs,

vs.

LUSETA BEAUTY INC., et al.,

Defendants.

Case No.:

24STCV10311

Hearing Date:

June 25, 2026

[TENTATIVE] ORDER RE: DEMURRER TO THE FIRST AMENDED CROSS-COMPLAINT

I. BACKGROUND

On April 24, 2024, Plaintiffs Guangzhou Beaver Cosmetic Co. Ltd., Guangzhou Beaver Industrial Co. Ltd., Guangzhou Evergreen Brands Co. Ltd, and Guangzhou Fortune Brands Management Co. Ltd. (collectively, "Plaintiffs") commenced this action against Defendant   Luseta   Beauty Inc. ("Luseta") and DOES 1 through 50. On February 6, 2026, Plaintiffs filed the operative Third Amended Complaint ("TAC") against Luseta, Junhua Huang, and DOES 1 through 50, alleging causes of action for: (1) Breach of Contract; (2) Unjust Enrichment; (3) Open Book Account; (4) Account Stated; (5) Quantum Valebant; and (6) Fraud.

On January 3, 2025, Luseta filed the operative First Amended Cross-Complaint against Plaintiffs, Beaver Singapore PTE Ltd, Beaver Cosmetics Corporation, JJC Brands Partners Inc., Hongkui Zhang, Fang Liu, Hongpeng Zhang, Alfheim Beauty, Inc., Beaver Cosmetics Asia Co. Ltd., and ROES 1 through 20, alleging causes of action for: (1) Breach of Fiduciary Duty; (2) Breach of Duty of Loyalty; (3) Aiding and Abetting Breach of Fiduciary Duty; (4) Interference with Contract; (5) Intentional Interference with Prospective Economic Relations; (6) Negligent Interference with Prospective Economic Relations; (7) Fraud; (8) Negligent Misrepresentation; (9) Unfair Competition; and (10) Unjust Enrichment.  

On September 29, 2025, Cross-Defendant Fang Liu ("Liu") filed the operative First Amended Shareholder Derivative Cross-Complaint and Shareholder Direct Cross-Complaint against Luseta, Junhua Huang, Yinghong Ma, Guangnuo Tan, Inworld Beauty, Inc., Glamstar Beauty Inc., and ROES 1 through 50, alleging causes of action for: (1) Breach of Fiduciary Duty; (2) Aiding and Abetting Breach of Fiduciary Duty; (3) Unfair Competition; (4) Unjust Enrichment; (5) Accounting; and (6) Corporate Waste; (7) Conversion; (8) Production of Corporate Records; (9) Fraud; and (10) Negligent Misrepresentation.

Defendants/Cross-Defendants Junhua Huang ("Huang"), Inworld Beauty, Inc. ("Inworld"), Glamstar Beauty Inc. ("Glamstar") (collectively, "Cross-Defendants") now demur to the first, second, third, fourth, seventh, ninth, and tenth causes of action alleged in Liu's First Amended Shareholder Derivative Cross-Complaint and Shareholder Direct Cross-Complaint. Liu opposes.

II. LEGAL STANDARD

"The primary function of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.)  

"A   demurrer   tests the legal sufficiency of the factual allegations in a complaint." (Ivanoff v. Bank of America, N.A.   (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether "the complaint alleges facts sufficient to state a cause of action or discloses a complete defense." (Id.) The Court does not "read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint 'as a whole and its parts in their context.' [Citation.]" (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court "assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken." (Harris, supra, 56 Cal.4th p. 240.) "The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]" (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc.,   92, subd. (c).)

A demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc.,   430.10, subd. (f).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

“ “[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

III. DISCUSSION

Meet and Confer

Prior to filing a demurrer, the demurring party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41.) “Any determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer.” (Code Civ. Proc., § 430.41, subd. (a)(4).)

The Cross-Defendants’ counsel of record, Benita S. Yu, states that she met and conferred with Liu’s counsel by telephone. (Decl. of Demurring Party re Meet and Confer, ¶2a.) The parties were unable to reach an agreement resolving the matters raised by the demurrer. (Id.) As such, the Court finds that the parties properly met and conferred prior to the filing of the present demurrer.

Breach of Fiduciary Duty [1st C/A]

Huang demurs to the first cause of action for breach of fiduciary duty on the grounds that Liu’s Cross-Complaint fails to state sufficient facts to constitute a claim for breach of fiduciary duty against him.

“The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach.” (O’Neal v. Stanislaus County Employees’ Retirement Assn. (2017) 8 Cal.App.5th 1184, 1215.)

The First Amended Shareholder Derivative/Direct Cross-Complaint (“Derivative-Direct Cross-Complaint”) alleges, inter alia, that Liu is a majority shareholder of Luseta. (DD-FACC, ¶¶4, 19-22.) Huang is the president of Inworld and an officer of Luseta. (Id., ¶¶6-7, 23-31.) Huang has also controlled Glamstar. (Id., ¶¶8, 33.) As an officer for Luseta, Huang was responsible for business development, management of day-to-day operations, corporate record-keeping, finances, and business dealings with shareholders. (Id., ¶23.) Huang was proficient in English and used it to take control of Luseta. (Id., ¶24.) On or about October 4, 2019, Huang signed and filed a Fictitious Business Name Statement with the California Secretary of State indicating that Luseta does business as Herbalosophy Beauty, Inc. and Ming-En USA, Inc. (Id., ¶31.) Huang signed in his purported capacity as Luseta’s CEO. (Id., ¶32.) Liu was not aware that Huang was claiming to be Luseta’s CEO and never authorized him to act as or represent himself as Luseta’s CEO. (Id., ¶33.) In or around February 2024, Liu discovered that Huang had secured her signature on a series of documents that were written in English without explaining their true meaning and significance; forged Liu’s signature on corporate, legal, and financial documents; competed with Luseta through Inworld and Glamstar by using them to sell goods purchased by Luseta at a mark-up and retaining the profits; executing a Trademark Assignment Agreement as President of Inworld and purporting to be the President of Ming-En USA, Inc. that assigned the “HERBALOSOPHY” word mark from Ming-En USA, Inc. to Inworld on or about December 28, 2020; submitted an application to register an additional HERBALOSOPHY trademark to Inworld on or about December 30, 2020 and March 5, 2021; submitting an application to register an HERBAL+OSOPHY HERBS MEET SCIENCE trademark for Inworld on or about January 30, 2022; transferring corporate assets to Inworld and Glamstar; misappropriating Luseta’s funds and resources for the benefit of Inworld and Glamstar; failed to maintain and provide Luseta corporate records in accordance with the laws of the State of California; attempting to unilaterally alter Luseta’s shareholder structure and ownership percentages; and took distributions from Luseta that belonged to Liu. (Id., ¶¶37, 46-48.) As a result of Huang’s

conduct, Liu and Luseta have suffered no less than \$1,000,000.00 in damages. (Id.)

Taking these allegations as true, the Derivative-Direct Cross-Complaint sufficiently alleges a claim for breach of fiduciary duty against Huang. Specifically, the Derivative-Direct Cross-Complaint alleges that Huang as an officer for Luseta owed Liu, a shareholder for Luseta a fiduciary duty. The Derivative-Direct Cross-Complaint further alleges that Huang breached his fiduciary duty to Liu by forging her signature of corporate, legal, and financial documents; securing her signature on documents in English with corporate and legal significance without explaining their true meaning; transferring Luseta's trademark licenses without consent to Inworld and Glamstar; misappropriating corporate funds; and self-dealing without disclosure, which has caused damages of no less than \$1,000,000.00.

Accordingly, the demurrer as to the first cause of action for breach of fiduciary duty is OVERRULED.

Aiding and Abetting Breach of Fiduciary Duty [2nd C/A]

Inworld and Glamstar demur to the second cause of action for aiding and abetting breach of fiduciary duty on the grounds that Liu's Cross-Complaint fails to state sufficient facts to constitute a claim for aiding and abetting breach of fiduciary duty against them.

" 'Liability may ... be imposed on one who aids and abets the commission of an intentional tort if the person ... knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act....' [Citations.]" (Schulz v. Neovi Data Corp. (2007) 152 Cal.App.4th 86, 93.)

The Derivative-Direct Cross-Complaint alleges, inter alia, that Inworld and Glamstar were aware of and provided substantial assistance to Huang in his breaches including by acting in concert with Huang and taking steps to conceal Huang's conduct. (DD-FACC, ¶¶54, 61.) However, the Derivative-Direct Cross-Complaint is devoid of any facts showing that Inworld and/or Glamstar knew that Huang was not authorized to make the alleged transactions on behalf of Luseta. Likewise, the Derivative-Direct Cross-Complaint fails to allege facts specifying how Inworld and/or Glamstar aided Huang in breaching his fiduciary duties.

Accordingly, the demurrer as to the second cause of action for aiding and abetting breach of fiduciary duty is SUSTAINED with leave to amend.

Unfair Competition [3rd C/A]

Inworld and Glamstar demur to the third cause of action for unfair competition on the grounds that Liu's Cross-Complaint fails to state sufficient facts to constitute a claim for unfair competition against them.

"To bring a UCL claim, a plaintiff must show either an (1) 'unlawful, unfair, or fraudulent business act or practice,' or (2) 'unfair, deceptive, untrue or misleading advertising.' " (Adhav v. Midway Rent A Car, Inc. (2019) 37 Cal.App.5th 954, 970.) " 'Unlawful' conduct includes any business practice or act forbidden by local, state or federal statutes or by regulations or case law. [Citation]." (Id.) " 'a UCL fraud plaintiff must allege he or she was motivated to act or refrain from action based on the truth or falsity of a defendant's statement, not merely on the fact it was made.' [Citation]." (Id.) A plaintiff alleging unfair business practices under these statutes must state with reasonable particularity the facts supporting the statutory elements of the violation." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.) However, "[w]hether a practice is deceptive, fraudulent, or unfair is generally a question of fact which requires 'consideration and weighing of evidence from both sides' and which usually cannot be made on demurrer." (Linear Technology Corp., supra, 152 Cal.App.4th 135.)

The Derivative-Direct Cross-Complaint alleges, inter alia, that through Inworld and Glamstar, Huang competed with Luseta by operating on digital marketplace platforms like Amazon. (DD-FACC, ¶37h.) Through Inworld and Glamstar, Huang

competed with Luseta by also selling goods purchased by Luseta at a mark-up and retaining the profits in those entities. (Id., ¶37d.) As previously discussed, the Derivative-Direct Cross-Complaint fails to allege any specific conduct and/or knowledge on part of Inworld and/or Glamstar to support they aided and abetted Huang in his purported misconduct. The unfair competition claim is based on Huang's alleged misconduct.

Accordingly, the demurrer as to the third cause of action for unfair competition is SUSTAINED with leave to amend.

Unjust Enrichment [4th C/A]

Cross-Defendants demur to the fourth cause of action for unjust enrichment on the grounds that there is no independent cause of action for this claim.

"Unjust enrichment is not a cause of action, just a restitution claim." (Hill v. Roll Internat. Corp. (2011) 195 Cal.App.4th 1295, 1307; see also Melchior v. New Line Productions, Inc. (2003) 106 Cal.App.4th 779, 793 ["T]here is no cause of action in California for unjust enrichment. 'The phrase "Unjust Enrichment" does not describe a theory of recovery, but an effect: the result of a failure to make restitution under circumstances where it is equitable to do so.' ") "The elements for a claim of unjust enrichment are 'receipt of a benefit and unjust retention of the benefit at the expense of another.' [Citation.] 'The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched.' [Citation.]" (Lyles v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769.)

The Derivative-Direct Cross-Complaint alleges, inter alia, that Huang improperly received and retained benefits at the expense of Liu by receiving and retaining distributions from Luseta that rightfully belonged to Liu. (DD-FACC, ¶¶37m-o, 66.) Huang also unlawfully appropriated a portion of Liu's equity interest for his own benefit. (Id., ¶67.) Inworld and Glamstar improperly received and retained benefits at the expense of Luseta by receiving and retaining branded goods from Luseta at less than fair market value. (Id., ¶68.)

Taking these allegations as true, the Derivative-Direct Cross-Complaint sufficiently alleges that Cross-Defendants are unjustly enriched by having received and retained either equitable interest, distributions, and/or the purchased of goods at less than the fair market value at the expense of Liu and Luseta.

Accordingly, the demurrer as to the fourth cause of action for unjust enrichment is OVERRULED.

Conversion [7th C/A]

Huang demurs to the seventh cause of action for conversion on the grounds that Liu's Cross-Complaint fails to state sufficient facts to constitute a claim for conversion against him.

"Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (Burllesci v. Petersen (1998) 68 Cal.App.4th 1062, 1066.) "Conversion is an intentional tort." (Multani v. Knight (2018) 23 Cal.App.5th 837, 853.) "Because the act [of conversion] must be knowingly done, 'neither negligence, active or passive, nor a breach of contract, even though it result in injury to, or loss of, specific property, constitutes a conversion.'" (Taylor v. Forte Hotels International (1991) 235 Cal.App.3d 1119, 1124.) "[C]ases recognizing claims for the conversion of money 'typically involve those who have misappropriated, commingled, or misapplied specific funds held for the benefit of others.'" (Voris v. Lampert (2019) 7 Cal.5th 1141, 1152, quoting PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal. App.4th 384, 396.)

As mentioned above, the Derivative-Direct Cross-Complaint sufficiently alleges, inter alia, that Huang wrongfully converted and misappropriated corporate assets. Specifically, the Derivative-Direct Cross-Complaint alleges that Liu discovered that Huang had executed a Trademark Assignment Agreement assigning the "HERBALOSOPHY" word mark from Ming-En USA, Inc. to Inworld on or about December 28, 2020; submitted an application to register an additional HERBALOSOPHY trademark to Inworld on or about December 30, 2020 and March 5, 2021; submitting an application to register an HERBAL+OSOPHY HERBS MEET SCIENCE trademark for Inworld on or about January 30, 2022; transferring corporate assets to Inworld and Glamstar; misappropriating Luseta's funds and resources for the benefit of Inworld and Glamstar; attempting to unilaterally alter Luseta's shareholder structure and ownership percentages; and took 500,000 shares of stock and in distributions from Luseta that belonged to Liu. (Id., ¶¶37e-g, 46-48, 82-85.) As a result of Huang's conduct, Liu and Luseta have suffered no less than \$1,000,000.00 in damages. (Id.)

Accordingly, the demurrer as to the seventh cause of action for conversion is OVERRULED.

Fraud Claims [9th and 10th C/As]

Huang demurs to the ninth and tenth causes of action for fraud and negligent misrepresentation on the grounds that they are not pled with the requisite particularity, thus barred by the economic loss rule.

"The essential elements of fraud, generally, are (1) a misrepresentation; (2) knowledge of falsity; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage." (City of Industry v. City of Fillmore (2011) 198 Cal.App.4th 191, 211.) "Each element must be pleaded with particularity so as to apprise the defendant of the specific grounds for the charge and enable the court to determine whether there is any basis for the cause of action, although less specificity is required if the defendant would likely have greater knowledge of the facts than the plaintiff." (Id.) "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

"The elements of negligent misrepresentation are '(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.'" (National Union Fire Ins. Co. of Pittsburgh, PA v. Cambridge Integrated Services Group, Inc. (2009) 171 Cal.App.4th 35, 50.)

The Derivative-Direct Cross-Complaint alleges, inter alia, that in or about 2010, Huang made false representations to Liu regarding securing her approval before making any material decisions for Luseta; Liu remaining as Luseta's CEO; keeping Liu informed in an accurate and timely manner as to Luseta's finances working exclusively for the benefit of Luseta; maintaining Luseta's corporate books and records in compliance with California laws and the laws of the United States; being honest and candid in communications with Liu; and ensuring Luseta's suppliers were timely paid. (DD-FACC, ¶¶24-29, 31-33, 37l, 38, 94-96, 106-108, 110.) Huang knowingly made these false representations to induce Liu to enter into the Investment Cooperation Arrangement and invest \$500,000.00 in Luseta. (Id.) Liu acted in justifiable reliance upon Huang's material misrepresentations because she did not know of their falsity until December 2023 when Huang refused to produce the corporate records for Luseta. (Id., ¶¶101-102, 114-115.) As a result of relying on Huang's misrepresentations, Liu suffered damages in excess of \$1,000,000.00. (Id., ¶¶103, 116.)

Taking these allegations as true, the Derivative-Direct Cross-Complaint sufficiently alleges who (Huang) made the purported misrepresentations, when (2010-2023) these misrepresentations were made, and what was actually said to Liu on behalf of Luseta. However, the Derivative-Direct Cross-Complaint fails to allege how and/or by what means these misrepresentations were tendered such as orally or written communications like text messages, email, letters. Thus, the Derivative-Direct Cross-Complaint has not sufficiently alleged the fraud claims.

The economic loss rule posits that a purchaser of a product that does not live up to the buyer's expectations can only recover in contract and not tort, "unless [the purchaser] can demonstrate harm above and beyond a broken contractual promise." (Food Safety Net Services v. Eco Safe Systems USA, Inc. (2012) 209 Cal.App.4th 1118, 1130 (quoting Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988 (Robinson Helicopter).

In Dhital, the court held that “the economic loss rule does not bar plaintiffs’ claim here for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court (Robinson, supra, 34 Cal.4th at pp. 989-990), and plaintiffs allege fraudulent conduct that is independent of Nissan’s alleged warranty breaches.” (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843; see also Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 991 [holding the economic loss rule does not bar fraud and intentional misrepresentation claims where the conduct alleged is independent of a breach of contract].)

In Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, the court clarified that, Robinson did not announce an exception to the economic loss rule but rather “clarified the extent the [economic loss rule] by demonstrating why the doctrine simply did not apply to the case at issue.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 34.) As a result, the Rattagan court concluded that, “[u]nder California law, a plaintiff may assert a cause of action for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the claim can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract.” (Id. at 45.)

As discussed above, the Derivative-Direct Cross-Complaint fails to sufficiently allege a claim for common law fraud and negligent misrepresentation at this time. Thus, absent proper allegations supporting an independent fraud claim outside of Huang’s contractual obligations under the Investment Cooperation Arrangement, the ninth and tenth causes of action would be barred by the economic loss rule. However, Liu indicates in her opposition that she is confident that she can successfully amend her claims to allege additional facts. (Opp. at 15:18-20.)

Accordingly, the demurrer as to ninth and tenth causes of action are SUSTAINED with leave to amend.

IV. CONCLUSION

Based on the foregoing, Defendants/Cross-Defendants Junhua Huang, Inworld Beauty, Inc., and Glamstar Beauty Inc.’s Demurrer to the First Amended Shareholder Derivative Cross-Complaint and Shareholder Direct Cross-Complaint is OVERRULED as to the first, fourth, and seventh causes of action and SUSTAINED with 30 days leave to amend as to the second, third, ninth, and tenth causes of action.

Defendants/Cross-Defendants Junhua Huang, Inworld Beauty, Inc., and Glamstar Beauty Inc. are ordered to give notice.

DATED: June 25, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

- If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.